

IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST
REPUBLIC OF SRI LANKA

In the matter of an application for
Mandates in the nature of Writs of
Certiorari and Mandamus under
and in terms of Article 140 of the
Constitution of the Democratic
Socialist Republic of Sri Lanka.

Court of Appeal Application No.
CA/WRT/0452/24

Ovin Gases (PVT) Ltd
Templeburg Industrial Estate
Panagoda
Homagama.

Petitioner

Vs.

1. H.K.K.A.Jayasundara
The Commissioner General of
Labour
Labour Secretariat,
Narahenpita,
Colombo-05.
2. W.P.M.G. Wijayawardhana
Assistant Commissioner of
Labour
East Colombo Labour Office
5th Floor, Labour Department,
Colombo-05

3. N.L.Wimalaweera
Labour Officer
East Colombo Labour Office
5th Floor, Labour Secretariat,
Colombo-05.

4. H.G.Milton
C/O: Sarath Dissanayake
36A, Dheerananda Wawatha,
Moronthurduwa,
Wadduwa.

Respondents

BEFORE : **Mohammed Laffar, J.**
P. Kumararatnam, J.

COUNSEL : **Maithree Pitawala with W.P.**
Sithampalam, instructed by Isuru
Perera for the Petitioner.
Tashya Gajanayake, SC for the 1st-3rd
Respondents.

ARGUED ON : **10/10/2024.**

DECIDED ON : **12/11/2024.**

ORDER**P. Kumararatnam, J.**

The Petitioner instituted this Writ Application praying for the following relief in the Petition dated 15.07.2024.

- a) Issue notices on the 1st to 4th Respondents above named;
- b) Issue a mandate in the nature of a Writ of Certiorari quashing that the aforesaid decision and/or award and/ or notice of the 2nd Respondent, marked as “P-5 (b)”;
- c) Issue a mandate in the nature of a Writ of Certiorari quashing the aforesaid decision and/ or award and/ or notice of the 2nd Respondent, marked as “P – 13”;
- d) Issue a mandate in the nature of a Writ of Certiorari quashing the aforesaid decision and/ or award and/ or notice of the 2nd Respondent, marked as “P – 10”;
- e) Issue a stay order staying further proceedings in the Magistrates Court of Homagama Case Number 66088/23 until the final determination of this matter or for a period Your Lordships’ Court thinks appropriate;
- f) Issue a stay order staying further proceedings in the Magistrates Court of Homagama Case Number 71156/24 until the final determination of this matter or for a period Your Lordships’ Court thinks appropriate;
- g) Direct the 1st respondent and/ or 2nd Respondent and/ or 3rd Respondent to issue a certified copy of the full case record of the original inquiry No. CLE/COM/D14/201/2021/23;

- h) Grant costs;
- i) Grant such other and further relief as Your Lordship Court may seem reasonable;

Background of the dispute *albeit* in brief is as follows;

The Petitioner is engaged in a business of manufacturing and distributing industrial gases in Sri Lanka. The 4th Respondent was an employee at Smith Clan (Pvt) Ltd from 1989 to 2013 a company owned by the brother of the Petitioner and has been known to the Petitioner for a period of time. From the year 2013, the 4th Respondent provided services to the Petitioner's Company as an independent contractor and the 4th Respondent was entrusted with the task of collecting cheques from the Petitioner's dealers as required, but was not engaged as a regular service provider.

The 4th Respondent had lodged a complaint dated 03.08.2021 before the Assistant Commissioner of Labour for Colombo East stating that he had been working as a Field Officer from 01.03.2013 to 30.01.2021 at the Petitioner's Company and was unlawfully terminated by the Petitioner. 4th Respondent contended further, that the contributions payable to the Employee Provident Fund (EPF) and the Gratuity was not duly paid. Therefore, he prayed for an order against the Petitioner directing them to pay the due amount of EPF and Gratuity. The Assistant Commissioner of Labour for Colombo East had summoned the Petitioner for an inquiry regarding the said complaint by letter dated 15.11.2021.

As the Petitioner could not attend the inquiry scheduled for 23.11.2021 due to Covid-19 restrictions, he was re-summoned for the inquiry scheduled to be held on 16.12.2021. As the Petitioner could not attend inquiry second time as well due to Covid-19 restrictions, the 3rd Respondent proceeded to hold the inquiry *ex-parte* and recommended the following in favour of the 4th Respondent;

- I. To recover a sum of Rs. 137,500/- under the Budgetary relief Allowance of Workers Act No. 04 of 2016.
- II. To recover a sum of Rs. 120,575/- as the Gratuity.
- III. To recover a sum of Rs.488,900/- as the EPF.

Subsequently, the 2nd Respondent issued a notice to recover the defaulted EPF contribution with surcharge. The calculation was as follows;

Defaulted period- 2013/03 to 2021/01

Total defaulted contribution funds-		Rs. 488,900/-
Surcharge	-	<u>Rs. 244,450/</u>
Total payable	-	<u>Rs.733,350/-</u>

After receiving the said notice, the Petitioner posting two letters dated 23.07.2022 and 29.07.2022 pleaded the 2nd Respondent to grant them an opportunity to show cause and support the case of the Petitioner regarding the inquiry. Accordingly, the 2nd Respondent had informed the Petitioner that the inquiry would be held on 22.08.2022. In the meantime, that Petitioner had received two letters sent by the 2nd Respondent about the payment of budgetary relief allowance of Rs.126,040/- and gratuity of 120,575/-.

The Petitioner attended the inquiry and filed a written submission on 12.10.2022 and denied employing the 4th Respondent.

The 2nd Respondent by letter dated 01.02.2022 informed the Petitioner that the Petitioner had failed to provide necessary documents to prove the Petitioner's position and the documents produced by the 4th Respondent proved the employer-employee relationship between the

Petitioner and the 4th Respondent. Hence, the inquiry was concluded in favour of the 4th Respondent. The budgetary allowance was re-adjusted to Rs.105,000/-.

Although, the Petitioner had appealed to the Commissioner General of Labour (1st Respondent) the preliminary decision was upheld by the 1st Respondent.

A Writ of Certiorari is an order by a higher court to review the decision of a lower court or administrative agency. It is used to examine the record of the lower court's proceedings and determine if there were any legal errors. This allows higher courts to oversee and correct errors made by lower courts, allowing for consistency and correctness in the application of the law.

In this case, the Counsel for the Petitioner contends that although the Petitioner had tendered a written submission with relevant documents through his Counsel to 3rd Respondent, the 3rd Respondent had failed to evaluate the material evidence and submissions properly while arriving at the purported decision.

The Petitioner categorically denied the issuance of an appointment letter to the 4th Respondent and that therefore, the 4th Respondent was not an employee. Hence, the Petitioner states that the said appointment letter marked "16" is *prima facie* a forged and fraudulent document and the 3rd Respondent never attempted to verify the authentication of the said letter despite the Petitioner objecting to the letter in the inquiry and in the written submission. Hence, the Petitioner submits that the conduct of the 3rd Respondent is a clear violation of natural justice.

Natural justice being a concept of common law, implies fairness, reasonableness, equity, and equality. It represents higher procedural principles developed by judges which must be followed in order to ensure that decisions delivered do not affect rights of individuals adversely. The principles of natural justice can be gleaned from various decisions of

courts. However, their application in given situations may depend on various factors.

‘*Audi alteram partem*’ is one of the main principles of natural justice, recurring in most judicial decisions, famously known as the rule against bias, meaning hear the other party or no one should be condemned unheard.

When considering the question of bias in cases like this, what the courts are concerned about is whether there are reasonable grounds for believing that the deciding officer was likely to have been biased. The Courts have to take into consideration the human possibilities and the ordinary course of human conduct. But there must be more than a mere suspicion of bias before the proceedings can be quashed on the grounds that the person conducting the proceedings is disqualified by bias; there must be a real likelihood of bias.

The rule simply implies that a person should be given an opportunity to defend oneself. Therefore, this principle is an essential part of a civilized society. He who shall decide without hearing from the other side will not be seen to have done what is right.

The same principle was expressed by **Lord Hewart** when he said,

“It is not merely of some importance, but is of Techniques of Law fundamental importance that justice should not only be done, but should manifestly and undoubtedly be seem to be done”.

Administrative difficulty in giving notice and hearing to a person cannot provide any justification for depriving the person of an opportunity of being heard. Furthermore, observance of the rules of natural justice has no relevance to the fatness of the stake but is essentially related to the demands of a given situation.

In this case there is no complaint from the Petitioner that the right to notice was denied. At all relevant times sufficient time had been given to comply with the requirement of the notice. Further, the Petitioner was aware of the case against him and was afforded reasonable opportunity to present his case. Therefore, he is not prejudiced in any manner in putting up an effective defence.

At all times the Petitioner was represented through a lawyer and opted to submit written submissions. Hence, the inquiry was conducted *inter-parte*.

In **Gunadasa v Attorney General and Others** [1989] 2 SLR 130 the Court held that:

“1. That the failure to give the petitioner a fair opportunity to "correct or contradict" the material witnesses when they gave evidence, has occasioned a violation of the principles of natural justice; that a man's defence must always be fairly heard. The non-observance of the said principles of natural justice, would consequently amount to an error on the face of the record, which would attract the remedy of Writ of Certiorari.

2.The failure to make available the documents relevant to the defence of the petitioner, at the hearing, amounted to an error on the face of the record, and the Writ of Certiorari would lie in such situations also.

3. A Writ of Certiorari is available to quash the determination made by an administrative authority or tribunal.”

In the written submission which had been marked as P11 the Petitioner had only disputed the letter of appointment which had been marked as P16. Although the Petitioner contested that P16 is a fraudulent letter, but

had not disputed the signature of the “Chairman” who had signed the letter. It is very pertinent to re-produce paragraph 08 of the written submission marked as P11 to this petition. Pages 25-26 of the brief:

පැමිණිලිකරු විසින් 2013.02.26 දානමින් වූ වග උත්තරකාර ආයතනයේ ලිපි ශීර්ෂය යටතේ වූ ලිපියක් පරීක්ෂණය වෙත ඉදිරිපත් කර ඇති බවට අනාවරණ වූ අතර වගඋත්තරකරු මේ සම්බන්ධයෙන් පහත සඳහන් කරුණු ඔබතුමාගේ අවධානයට ලක් කර සිටී.

- i. පැමිණිලිකරු විසින් ඉදිරිපත් කල පත්වීමේ ලිපියේ මුද්‍රණය බැලූ බැල්මට සැක සහිත වේ. එනම් සියළු පිටුවල වගඋත්තරකාර සමාගමේ සභාපතිතුමන් විසින් අත්සන් කර ඇති අතර පැමිණිලිකරුගේ අත්සන කිසිම ස්ථානයක නොමැත. තවද එම පත්වීමේ ලිපියේ මුද්‍රණයන් නිසි පරිදි නොවන අතර ආයතනයක සේවකයෙකුට පළමුවෙන් ලබා දෙන පත්වීමේ ලිපියක් මෙවැනි ආකාරයේ අපිළිවෙළ සහගත නොවේ.

(වගඋත්තරකාර ආයතනයේ සමකාලීන සේවකයෙකුට ලබා දුන් පත්වීමේ ලිපියක පිටපතක් අමුණා ඇත.)

- ii. ඉහත සඳහන් පත්වීමේ ලිපි සන්නද්‍රව්‍ය කල පසු පැමිණිලිකරුගේ පත්වීමේ ලිපිය කුට ලේඛනයක් බව මනාව අවබෝධ කර ගත හැක.

The above cited paragraph of the written submission is a clear testament that the “Chairman” had signed the letter of appointment of the 4th Respondent which had been marked as P16. Due to the aforesaid reason, now the Petitioner cannot argue that P16 is a forged letter. If the Petitioner really wanted to prove his argument, he should have participated in the inquiry physically rather than filing a written submission.

Under these circumstances I find that the 3rd Respondent had not acted *ultra vires*, as he had considered the written submission submitted by the Petitioner to come to his decision.

As per the facts of this case and considering the submissions of all parties, I am of the view that the Petitioner has failed to establish a *prima facie* case against the Respondents. Accordingly, for the reasons stated above, this Court is not inclined to issue formal notice and proceeds to dismiss this Application. No cost ordered.

JUDGE OF COURT OF APPEAL

M.T. Mohammed Laffar, J.

I Agree

JUDGE OF COURT OF APPEAL